them on to consumers through lower prices. Indeed, effective competitive pressure on prices has generally been lacking from rivals in this market.

If the market were characterised by effective competition, then surely competitive pressure, either from potential entrants or existing competitors, would have compelled Absa to reduce its prices in order to maintain its relative share of the market and grow its business in this segment. The fact that it did not do so suggests that banks are sheltered from effective competitive pressure when it comes to pricing of PTAs, particularly in the retail banking or middle-market segment.